

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-10

TZ SSE Buyer, LLC, Complainant v. Yang Ming Marine Transport Corp., Respondent

**COMPLAINANT TZ SSE BUYER, LLC'S
REPLY BRIEF**

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I. Introduction.

Respondent Yang Ming Marine Transport Corp. (“Respondent”) incorrectly asserts that no specific evidence exists of disputes regarding demurrage, detention, per diem, and yard storage charges. It further claims that direct evidence is required for Complainant TZ SSE Buyer, LLC (“Complainant”) to meet its burden of proof. This assertion is unfounded, demonstrably false, and disregards the established legal framework governing this proceeding. Contrary to Respondent’s contentions in its brief (“Respondent Brief” or “Rep. Br.”), the burden of proof in this proceeding is not a heightened standard requiring direct evidence. Instead, the applicable standard is the preponderance of the evidence, which allows the Federal Maritime Commission (“FMC” or the “Commission”) to draw reasonable inferences from circumstantial evidence and apply its specialized knowledge and expertise in the maritime transportation industry.

Complainant has more than met this burden by presenting substantial evidence that includes: (1) a detailed damages spreadsheet corroborated by sample invoices from Respondent and Laufer Group International (“Laufer”); (2) email communications and deposition testimony showing Respondent’s awareness of the severe congestion and chassis shortage crisis affecting its customers and the industry in 2021–2022; (3) Respondent’s failure to provide any evidence of written policies, dispute resolution procedures, or billing processes for demurrage, detention, per diem, and other accessorial charges issued to customers in 2021–2022; and (4) expert reports highlighting Respondent’s disproportionate financial gain from unreasonable demurrage, detention, per diem and other accessorial charges during 2021 and 2022 (the “Relevant Period”).

Additionally, Respondent’s failure to produce relevant communications or other records is both unexplained and inexcusable. As the ocean carrier responsible for transporting the relevant containers from outside the U.S. to U.S. ports and rail yards, Respondent should have these critical records in its possession. Yet, it has failed to meet even the most basic discovery obligations.

Respondent has neither explained what searches were conducted to locate these records nor provided any substantive justification for their absence, instead vaguely asserting that they simply do not exist. Not a single communication—whether regarding the issuance of demurrage, detention, per diem, and other accessorial charges, or updates on the transportation of the relevant containers—has been produced, despite repeated requests.

This lack of transparency underscores Respondent’s broader strategy: evading accountability by disclaiming responsibility, withholding crucial evidence, and misrepresenting the applicable standard of proof. As the record shows, 2021–2022 email communications between Respondent, Laufer, and Impact Products LLC and Safety Zone LLC (collectively, (“Complainant’s Predecessors”)) produced by Complainant during discovery confirm that such communications existed. Respondent’s failure to locate or produce these records raises significant questions: What searches were conducted, and why did they yield nothing?

The Presiding Officer should consider the totality of the evidence presented, along with Respondent’s lack of candor during discovery, to draw reasonable inferences and conclude that Respondent violated the Shipping Act of 1984, 46 U.S.C. §§ 40101 et seq. (the “Shipping Act”). Respondent’s practices were unjust and unreasonable under 46 CFR Part 545.5, 46 U.S.C. § 41102(c), and the FMC’s Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 F.R. 29638 (May 18, 2020.) Furthermore, Respondent’s refusal to lower or waive these charges, even after being fully informed by Laufer of the circumstances, constitutes an unreasonable refusal to deal or negotiate, in violation of 46 U.S.C. § 41104(a)(10).

II. Public Policy Considerations.

This case also raises critical public policy concerns. As a sophisticated and highly regulated ocean carrier, Respondent’s conduct demonstrates a blatant disregard for its obligations under the Shipping Act and the clear guidance provided by the FMC’s Final Rule, Interpretive Rule on

Demurrage and Detention Under the Shipping Act, published on May 18, 2020—well before Complainant’s Predecessors’ filed the Verified Complaint. Instead of following the FMC’s guidance to address the severe congestion and chassis shortages that it knew were impacting its customers and the industry during 2021–2022, Respondent exploited these challenges by imposing unjust and unreasonable demurrage and detention charges. This predatory behavior disproportionately harmed American businesses, including Complainant’s Predecessors, by draining their financial resources (contributing to Complainant’s Predecessors’ eventual bankruptcy), and allowing Respondent to profit from the systemic hardships faced by its customers.

Allowing Respondent to evade accountability would set a dangerous precedent, effectively enabling regulated ocean carriers to impose arbitrary charges without proper justification or transparency, particularly during challenging periods like 2021–2022. Such practices undermine the FMC’s statutory mandate to “ensure an efficient, competitive, and economical transportation system.” 46 U.S.C. § 40101(2). The Commission must take a firm stance against such practices to protect shippers from exploitation, uphold fairness, and preserve the integrity of the maritime transportation system.

III. Applicable Standard of Proof.

Throughout its brief, Respondent misrepresents and conflates Complainant’s burden of proof, asserting that Complainant must present direct evidence to support its allegations of Respondent’s misconduct concerning the disputed charges. (See Resp. Br., pp. 16, 23, 29.) This assertion is incorrect and fundamentally misinterprets the applicable standard of proof.

The Commission has consistently held that “the prevailing standard of proof in administrative cases is not ‘clear and convincing’ or ‘beyond a reasonable doubt’ but rather merely a ‘preponderance of the evidence.’” See, e.g., *The Port Authority of New York and New Jersey v.*

New York Shipping Association, et al. and Puerto Rico Maritime Shipping Authority, et al. v. New York Shipping Association, FMC Docket Nos. 84-6, 84-8, 1984 WL 136289, at *21–22 (Nov. 5, 1984). The “preponderance of the evidence” standard is qualitative, not quantitative. *Id.* It does not require the trier of fact to “merely weigh the amount of evidence on a scale or count the number of witnesses” on either side. *Id.* Instead, it requires that the evidence presented makes the existence of a fact more probable than not. *Id.*

The Commission has recognized that it “may draw inferences from certain facts when direct evidence is not available because of the Commission's particular knowledge and expertise and even on the basis of inferences that any reasonable person would draw from the facts.” *Id.*; *see, e.g., F.M.C. v. Svenska*, 390 U.S. 238, 249 (1968) (“Having correctly noted that positive proof ... was simply not available one way or the other, the Commission was fully entitled to draw inferences on these points from the incomplete evidence that was available. ‘Conjecture’ of this kind, when based on inferences that are reasonable in light of human experience generally or when based on the Commission's special familiarity with the shipping industry, is fully within the competence of the administrative agency and should be respected by the reviewing courts”); *U.S. v. F.M.C.*, 15 SRR 927, 934-935 (D.C. Cir. 1980) (hearsay and indirect evidence used to support finding of rebating, there being no direct evidence so that inferences were required to be drawn).

As outlined in Complainant’s Opening Brief (“Comp. Br.”) and this Reply, Complainant has met its burden of proof. *First*, it provided the Presiding Officer with a damages spreadsheet detailing the demurrage, detention, per diem, and yard storage charges that Respondent assessed against Laufer during 2021–2022. (CX_000032–58.) Complainant also submitted a sample of the invoices it received from Laufer and Respondent. (*Id.*; CX_000263–79.) This constitutes *direct* evidence of the charges Respondent issued to Laufer, which were then passed on to Complainant’s

Predecessors. Complainant's Predecessors ultimately paid these charges to Laufer, who in turn remitted payment to Respondent. (Comp. Br., pp. 3–4.)

Second, Complainant has submitted 2021–2022 email communications and deposition testimony showing that Respondent was fully aware of the severe port congestion and equipment shortages that prevented Laufer and the Complainant's Predecessors from retrieving and returning containers before the expiration of the last free day allotted by Respondent. (CX_000013–25; CX000102–176.)

Third, Complainant has presented compelling evidence, including its expert report and deposition testimony, demonstrating that Respondent treated demurrage, detention, per diem and other accessorial charges as a direct component of its revenue. (CX_000296; CX_000342.) This evidence further reveals that Respondent's revenue significantly increased during 2021–2022, a period marked by systemic port congestion and equipment shortages, while its financial performance prior to this time was notably weaker. (CX_000288–298; CX_000343.) Notably, while Respondent's revenue and profits increased, the volume of containers transported on its vessels during 2021–2022 declined compared to 2019, whereas the overall industry saw volume growth during the same period. (CX_000296–97.)

The Commission, therefore, has the authority to draw reasonable inferences from the evidence presented by Complainant, including inferences that any reasonable person would draw from the facts, while also relying on its specialized knowledge and expertise. Contrary to Respondent's assertions, the Commission is not required to analyze each demurrage and detention charge individually to determine its reasonableness. (Resp. Br., pp. 21–22.) Imposing such a requirement would be both impractical and burdensome, forcing the Commission to review hundreds of thousands of charges across cases—a task that would undermine its ability to fulfill

its statutory mandate to “ensure an efficient, competitive, and economical transportation system.” 46 U.S.C. § 40101(2). For instance, in this case alone, Respondent’s proposed rule would require the Commission to individually evaluate over 630 alleged demurrage, detention, per diem and yard storage charges—an exercise that is not only unfeasible but also unnecessary. (CX_000032–58.) Such an approach is wholly inconsistent with the Commission’s role in ensuring fairness and efficiency in the maritime transportation system.

The only case Respondent cites to support its proposed heightened burden of proof, *Evergreen Shipping Agency*, is fact-specific and does not establish binding precedent. In that case, the D.C. Circuit Court of Appeals found that the Commission failed to consider specific facts when evaluating the reasonableness of disputed detention charges. *See Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1117 (D.C. Cir. 2024). Specifically, the court noted that the disputing party was aware of the port’s announced closure dates before the expiration of the last free day and that the free periods for returning the container and chassis had already expired before the closure was announced. *Id.* at 1116. Despite this, the disputing party claimed it was unable to return the items due to the port closure. *Id.* However, nothing in the opinion imposes a requirement on the Commission to analyze the reasonableness of demurrage and detention charges on a charge-by-charge basis. *See id.*

In light of the evidence presented, Complainant has met its burden of proof, and the Commission is well-equipped to draw reasonable inferences and apply its specialized knowledge and expertise to determine that Respondent’s conduct—detailed in the Verified Amended Complaint, Complainant’s Proposed Findings of Fact, Opening Brief, this Reply and supporting exhibits—constituted a violation of the Shipping Act.

IV. Argument

A. **The FMC has jurisdiction over Complainant's claims.**

- i. Complainant received a valid assignment of the underlying claims, which Respondent never challenged.

Respondent attempts to raise a jurisdictional question concerning the direct purchaser rule in a strangely formatted, two-page footnote. (Resp. Br., pp. 15–16 at fn. 1.) Without offering any legitimate factual or legal basis, Respondent asserts that Complainant, Laufer or Complainant's Predecessors (it is unclear) needed Respondent's authorization before Laufer could assign the claims alleged in this proceeding. (*Id.*) In support of this baseless contention, Respondent cites a May 1, 2020 service contract with T.H.I. Logistics Co., Ltd. (predating the facts at issue here) and a portion of Mr. Lawrence Hallett's ("Mr. Hallett") deposition testimony. (*Id.*, citing Hallett Deposition, RX 20; Service Contract, RX1.) However, Respondent fails to identify any specific contractual provision from the May 1, 2020 contract, or any specific page and line from Mr. Hallett's deposition testimony that support its argument. (*Id.*) Instead, it leaves the Presiding Officer to sift through these documents for language that simply does not exist.

As referenced in Complainant's Opening Brief (Comp. Br., pp. 3–4), Complainant's Predecessors obtained a valid assignment of the claims alleged against Respondent from Laufer (the "Assignment"). The validity of the Assignment was never disputed by Respondent. In fact, before Complainant's Predecessors sought leave to amend their Verified Complaint, they provided Respondent with a copy of the Verified Amended Complaint, which also included a copy of the Assignment, and Respondent did not oppose Complainant's Predecessors' motion for leave to file an amended complaint. (*See* Complainant's Predecessors' Unopposed Motion for Leave to File Amended Complaint, Doc. No. 13.) Furthermore, the validity of the Assignment has been affirmed by the Administrative Law Judge ("ALJ") in *TZ SSE Buyer, LLC v. OOCL, et al.*, Docket No. 24-

08, Doc. 14 (ALJ, June 3, 2024), and *TZ SSE Buyer, LLC v. COSCO Shipping Lines, Co., Ltd.*, Docket No. 24-09, Doc. 13 (ALJ, May 24, 2024).¹

ii. Respondent's cited statute of limitations does not bar Complainant's claims.

Respondent vaguely asserts, without legitimate support, that Complainant's claims are barred by the statute of limitations under 46 U.S.C. § 41301(a). (Resp. Br., 15–16 at fn. 1.) To support this conclusory argument, Respondent again references a May 1, 2020 service contract with T.H.I. Logistics Co., Ltd., but fails to explain its relevance. (*Id.*, citing Service Contract, RX 1.) Again, the cited contract predates the allegations in the Verified Amended Complaint by a year (2020), covering an entirely different timeframe. (*Id.*) Additionally, the party referenced in the cited contract, “T.H.I. Logistics Co., Ltd.,” is not mentioned anywhere in the Verified Amended Complaint (Doc. No. 15), and Respondent offers no explanation of how this entity is connected to the named parties. Furthermore, Complainant does not demonstrate how the statute of limitations under 46 U.S.C. § 41301(a) applies to bar Complainant's claims. With only cursory references to a statute and unrelated case law, Respondent's argument is entirely unsupported and should be disregarded.²

Complainant also addresses the substance of Respondent's statute of limitations claim. The Commission has found that, absent an exception, a claim accrues (and the statute of limitations begins to run) “when a defendant commits an act that injures a plaintiff's business.” *Maier*

¹ The Commission has routinely allow a complainant to succeed to a claim in valid fashion such as by assignment. *See, e.g., In Re: Vehicle Carrier Services*, Docket Nos. 16-01, 16-07, and 16-11, 2019 WL 5558120, at *6 (FMC 2019).

² A party's conclusory and self-serving assertions are insufficient for summary judgment purposes. *See, e.g., Sensoria, LLC v. Kaweske*, 2023 WL 9025702, at *2 (D. Colo. Nov. 14, 2023). Courts have no duty to search the record on behalf of a litigant to find evidence supporting the litigant's summary judgment interests. *See Cross v. The Home Depot*, 390 F.3d 1283, 1290 (10th Cir. 2004) (“[I]t is the responding party's burden to ensure that the factual dispute is portrayed with particularity, without ... depending on the trial court to conduct its own search of the record.”)

Terminals, LLC v. Port Authority of New York and New Jersey, FMC Docket No. 08-03, 2013 WL 9808667, at *4 (Jan. 31, 2013) (citing *Zenith Radio Corp. v. Hazeltine Research Inc.*, 401 U.S. 321, 338 (1971)).

Since the Verified Complaint was filed on February 14, 2024, any claims for charges that accrued on or after February 14, 2021, fall squarely within the three-year statute of limitations under 46 U.S.C. § 41301(a). Complainant asserts that the majority, if not all, of the disputed charges in this proceeding were issued on or after February 14, 2021. To support this, Complainant will present **Exhibit 26** as part of its Reply, which includes non-negotiable seaway bills and demurrage invoices produced by Respondent during discovery. These records clearly establish that the transportation arrangements between Respondent and Laufer, related to the Relevant Containers and directly giving rise to the disputed charges, occurred on or after February 14, 2021. Similarly, the issuance of the disputed demurrage invoices also occurred on or after this date. Together, these facts demonstrate that the claims are timely under the applicable statute of limitations.

The Presiding Officer should allow and consider Exhibit 26 as part of Complainant's Appendix. Complainant labeled it as Exhibit 26 for consistency, as the last exhibit in Complainant's Appendix is Exhibit 25, and its Bates labels sequentially follow those already in the Appendix. Excluding this evidence would be both unfair and prejudicial, particularly since Respondent raised the statute of limitations issue in its Brief yet failed to provide any supporting evidence other than an irrelevant 2020 service contract. Exhibit 26, by contrast, directly rebuts Respondent's argument and further supports the timeliness of Complainant's claims.

Importantly, the Commission has adopted the discovery rule, under which the statute of limitations does not begin to run until "a party knew or with reasonable diligence should have

known that it had a claim.” *Inlet Fish Prod., Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 306, 314 (FMC 2001) (emphasis added) (citing *Connors v. Hallmark & Son Coal Co.*, 935 F.3d 336, 342 (D.C. Cir. 1991)). The discovery rule creates an exception to the time-bar provision, requiring the complainant to demonstrate that it could not have known of the purported injury even with reasonable diligence. *Maher Terminals*, 2013 WL 9808667 at *4. Notably, the Commission in *Maher* emphasized that determining when a claim accrues under the discovery rule requires an analysis of the substantive elements of the claims presented by the complainant. *Id.* at *5. This highlights that claim accrual is not a rigid, mechanical determination, but rather depends on the specific facts and circumstances surrounding the alleged violations.

Here, the elements of a 46 U.S.C. § 41102(c) violation are: (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions occurred on a normal, customary, and continuous basis; (c) The practice or regulation relates to receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

Complainant addresses all elements in Section IV.B of this Reply and on pages 6–20 of its Opening Brief. This section focuses on element (b), which requires acts or omissions to occur on a normal, customary, and continuous basis, and element (d), which requires that the practice or regulation be unjust or unreasonable. 46 C.F.R. § 545.4. For the limited timeframe of January 1, 2021, through February 13, 2021—covering the disputed charges that could be barred by the statute of limitations—it would have been implausible for Complainant, even with reasonable diligence, to have known that Respondent would engage in the continuous and systematic issuance of demurrage, detention, per diem, and other accessorial charges throughout 2021 and 2022. The

limited snapshot of one month and thirteen days in 2021 could not have provided Complainant with reasonable notice that these practices would escalate into an unjust and unreasonable pattern of behavior.

As for a violation under 46 U.S.C. § 41104(a)(10), a Complainant must establish: (1) that Respondent is a common carrier; (2) that Respondent refused to deal or negotiate; and (3) that such refusal was unreasonable. *See OJ Commerce v. Hamburg Süd*, FMC Docket No. 21-11, 2023 WL 3969857, at *41 (ALJ June 7, 2023). Complainant fully addresses these elements in Section IV.C of this Reply and pages 20–23 of its Opening Brief. This section focuses on element two—that Respondent refused to deal or negotiate. *See OJ Commerce*, 2023 WL 3969857 at *41.

For the limited timeframe of January 1, 2021, through February 13, 2021—covering the disputed charges that could be barred by the statute of limitations—it would have been implausible for Complainant, even with reasonable diligence, to know that Respondent would refuse to deal or negotiate or that such refusal would later prove unreasonable. At this early stage, Complainant could not have foreseen that Respondent would issue demurrage, detention, per diem, and other accessorial charges continuously and unreasonably over two years (2021–2022). During this brief period, there was nothing yet for Complainant to deal or negotiate about, further highlighting the applicability of the discovery rule.

Accordingly, even if the Presiding Officer chooses to analyze Respondent’s unsupported allegations regarding the statute of limitations under 46 U.S.C. § 41301(a), the statute is inapplicable because all disputed charges were assessed within three years of the claims accruing. Alternatively, if the Presiding Officer determines that a *de minimis* portion of the disputed charges were assessed outside the three-year period, the discovery rule should apply. Therefore, Respondent’s statute of limitations argument should be disregarded.

iii. Complainant's Predecessors' bankruptcy sale does not prevent Complainant from bringing this action against Respondent.

Respondent argues that Complainant is barred from bringing this claim under bankruptcy law.³ (Resp. Br., p. 16–17 at fn. 2.) To support this assertion, Respondent references certain pages from Mr. Hallett's deposition testimony. (*Id.*, citing Hallett Deposition, RX23–24.) However, these pages fail to support Respondent's claim that "[n]o FMC claims were disclosed among any of the Complainant's schedules, upon which the bankruptcy court's order allowing the sale was founded." (*Id.*) Instead, the cited testimony merely reveals that Mr. Hallett has no knowledge of the issue. (Hallett Deposition, RX23–24.) Notably, Mr. Hallett is not a bankruptcy attorney and was deposed solely regarding his direct knowledge of the demurrage, detention, per diem, and yard storage charges alleged in the Complaint—not the bankruptcy sale.

Respondent also vaguely cites unspecified docket entries from the bankruptcy proceedings without identifying any relevant language, page, or document name to support its argument. (Resp. Br., p. 16–17 at fn. 2, citing 24 bk 11054, Docket Entry Nos. 156, 159, 160, 161, 164, 165, 173, 222.) Once again, Respondent improperly shifts the burden to the Presiding Officer to comb through these documents in search of unspecified support for its claims. This is not the Presiding Officer's role, and such an approach is procedurally improper. *Magnum Towing & Recovery v. City of Toledo*, 287 Fed. Appx. 442, 449 (6th Cir. 2008) ("It is not the district court's...duty to search through the record to develop a party's claims; the litigant must direct the court to evidence in support of its arguments before the court.")

³ Complainant notes that, in its Unopposed Motion for Leave to File Amended Complaint, it thoroughly explained the bankruptcy sale and included as exhibits both the Bankruptcy Order approving the sale and the Sale and Purchase Agreement. (See Doc. No. 13, pp. 2–3, **Ex. 2–3**.) Notably, Respondent raised no objections or issues regarding these documents at that time.

Finally, Respondent mischaracterizes the bankruptcy code by citing 11 U.S.C. § 521 without referencing any specific subsection. (Resp. Br. p. 16–17 at fn. 2.) Respondent claims that this section requires debtors to declare “any litigation likely to arise in a nonbankruptcy context.” (*Id.*) However, the text of § 521 contains no such language. While one of the cases cited by Respondent does make this statement, the cases Respondent relies upon are distinguishable from the circumstances here and do not support its argument.

None of the cases cited by Respondent involve the sale of all of a debtor’s assets and liabilities to a third party through a bankruptcy sale. Instead, they address situations where a debtor failed to disclose a potential claim as part of their assets and liabilities while simultaneously pursuing or attempting to file suit in federal court. In those cases, the courts analyzed whether the *debtor* should be barred from pursuing their claim through judicial estoppel, reasoning that the *debtor* had taken advantage of Chapter 11 protections, including approval of a proposed reorganization plan, without disclosing the litigation. See *Krystal Cadillac-Oldsmobile GMC Truck, Inc. v. Gen. Motors Corp.*, 337 F.3d 314 (3d Cir. 2003); *Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc.*, 989 F.2d 570, 571 (1st Cir. 1993); *Oneida Motor Freight, Inc. v. United Jersey Bank*, 848 F.2d 414, 415 (3d Cir. 1988) (emphasis added).

In contrast, Complainant’s Predecessors, as debtors, explicitly acknowledged that they could no longer pursue this proceeding against Respondent after selling all their rights to the claims at issue. Through the bankruptcy sale, they transferred their interest in this FMC proceeding to Complainant. These facts are fundamentally different from the judicial estoppel cases Respondent cites, rendering its argument inapplicable and unpersuasive.

For further clarity, Complainant briefly explains the bankruptcy sale process. On July 10, 2024, the Bankruptcy Court administering Complainant’s Predecessors’ Chapter 11 bankruptcy

petition (the “Bankruptcy Court”), *In re: Supply Source Enterprises, Inc., et al.*, Case No. 24-bk-11055 (Bankr. Del. May 21, 2024), entered an order (a) approving the sale of the debtors’ assets free and clear of lien, claims, interests, and encumbrances, (b) approving the assumption and assignment of certain executory contracts and unexpired leases, and (c) granting related relief (the “Bankruptcy Order”). As part of the Bankruptcy Order, the Bankruptcy Court approved the sale and purchase of all rights, or causes of action which the Complainant’s Predecessors may have against any person with respect to the purchased assets (the “Asset Purchase Agreement”).⁴

As of July 10, 2024, Complainant became the owner of all of Complainant’s Predecessors’ assets, including the claims at issue in this proceeding. Pursuant to the Bankruptcy Order and the Asset Purchase Agreement, Complainant’s Predecessors transferred and assigned all of the claims they had against Respondent in this proceeding to Complainant, who is now prosecuting the claims against Respondent.

Regardless of Respondent’s view on whether the Asset Purchase Agreement was appropriate, it was duly approved by the Bankruptcy Court, and the sale became final. As a result, all of the Complainant’s Predecessors’ assets, including this cause of action against Respondent, were transferred to Complainant. If Respondent now seeks to challenge the validity of that sale, it is pursuing relief in the wrong tribunal. Respondent’s reliance on incomplete, vague, and irrelevant references to deposition testimony, bankruptcy docket entries, and the bankruptcy code fails to demonstrate that Complainant’s claims are barred. Accordingly, Respondent’s argument should be rejected.

⁴ These documents were produced as part of Complainant’s predecessor’s Motion for Leave to File Amended Complaint. (Doc. No. 13, pp. 2–3, **Ex. 2–3.**)

- iv. FMC has jurisdiction over Complainant's claims, including domestic carriage, rendering Respondent's cited authority inapposite.

Respondent incorrectly asserts that Complainant seeks damages solely for demurrage and detention charges arising from chassis unavailability at an Illinois rail terminal. (Resp. Br., p. 17, citing CX102–76). This claim is demonstrably false and misrepresents both the record and Complainant's argument. As clarified in Complainant's Opening Brief, the emails referenced by Respondent (Resp. Br., p. 17) were cited not to limit the scope of damages, but to highlight Respondent's awareness of the severe congestion and equipment shortages that affected the maritime transportation industry, Respondent's customers (such as Laufer), and the trucking companies transporting the relevant containers during 2021–2022 (Comp. Br., pp. 11–12). Complainant seeks damages for *all* wrongful demurrage, detention, per diem and yard storage charges assessed by Respondent during 2021–2022, as detailed in its Verified Amended Complaint, Opening Brief, and Damages Spreadsheets (CX_000032–58).

Next, Respondent concedes that it entered into service contracts with Laufer for the shipment of containers carrying Complainant's Predecessors' goods on Respondent's ocean vessels during 2021–2022 (the Relevant Containers). (Resp. Br., p. 17.) Yet, it claims that “Laufer only contracted with Yang Ming for ‘CY/CY’ port-to-port carriage,” covering only the ocean leg of the cargo movement, and that it bears no liability for “events occurring after discharge from the vessel.” (*Id.*, citing Sample Yang Ming Sea Waybills, CX202–05; Service Contract, RX7). This assertion is plainly incorrect. Once more, Respondent relies on a May 1, 2020 ocean service contract with T.H.I. Logistics Co., Ltd., but fails to explain its relevance to Complainant's claims. (*Id.*) (citing Service Contract, RX7).

The sea waybills cited by Respondent, which detail the transportation arrangement for containers carrying Complainant's Predecessors' goods during 2021–2022, designate delivery as

“Container Yard (CY),” confirming that Respondent was responsible for transporting the containers beyond the U.S. port of entry. (Sample Yang Ming Sea Waybills, CX202–05.) In fact, these sea waybills directly contradict Respondent’s argument by identifying Los Angeles, California, as the port of discharge but assigning Respondent responsibility for delivering the Relevant Containers to Houston, Texas. (*Id.*)

Since the sea waybills Respondent relies on directly refute its own claims, the caselaw it cites, which pertains to ocean or port-to-port bills of lading, is rendered inapplicable and collapses as support for its argument.⁵ *See e.g., Suzlon Wind Energy Corp. v. Shippers Stevedoring Co.*, 2008 WL 686206, at *13 (S.D. Tex. Mar. 7, 2008) (finding that the factual record showed that the bill of lading was an ocean or port-to-port bill of lading).

Respondent also asserts that, under the May 1, 2020 ocean service contract, it was not responsible for providing chassis for shipments designated as Port or Container Yard (CY) delivery. (Resp. Br., p. 17, citing Service Contract RX7.) However, this point is irrelevant to Complainant’s claims, as Complainant does not dispute who was responsible for providing chassis. Instead, Complainant contends that Respondent improperly assessed demurrage, detention, per diem, and other accessorial charges without accounting for the severe congestion and equipment shortages—particularly chassis shortages—that affected Complainant’s Predecessors, Laufer, and the trucking companies tasked with retrieving the Relevant Containers in 2021–2022.

Lastly, Respondent incorrectly claims that the FMC lacks jurisdiction over domestic carriage (Resp. Br. 17–20), a flawed argument that mirrors its misunderstanding of its contractual

⁵ Some of the cases Respondent cites in support of this argument are irrelevant. *See, e.g., Ins. Co. of N. Am. v. S/S Am. Argosy*, 732 F.2d 299, 302 (2d Cir. 1984) (analyzing whether a ship owner can be held liable for damage to a shipment under an unauthorized bill of lading issued by an NVOCC) (emphasis added.) Additionally, the FMC rule Respondent cites relates to Demurrage and Detention billing requirements. Final Rule on Demurrage and Detention Billing Requirements, 89 FR 14330, 14336 (“a primary purpose of this rule is to stop demurrage and detention invoices from being sent to parties who did not negotiate contract terms with the billing party.”) (emphasis added.)

obligations under the cited sea waybills. Despite Respondent's reliance on federal cases, it omits any reference to FMC proceedings that directly confirm the Commission's jurisdiction over maritime contracts that include land carriage components. As the Commission explained:

“It is well established that the Commission's jurisdiction does not automatically stop at the port. ‘Conceptually, so long as a bill of lading requires substantial carriage of goods by sea, its purpose is to effectuate maritime commerce – and thus it is a maritime contract. Its character as a maritime contract is not defeated simply because it also provides for some land carriage. The Supreme Court explained that the fundamental interest giving rise to maritime jurisdiction is ‘the protection of maritime commerce.’”

Intermodal Motor Carriers Conference, American Trucking Ass'n, Inc. v. Ocean Carrier Equipment Management Association Inc. et al., FMC Docket No. 20-14, 2023 WL 1963455, at *22 (Feb. 6, 2023) (quoting *Norfolk S. Railway Co. v. Kirby*, 543 U.S. 14, 27 (2004)).

Here, the maritime contracts for the transportation of the Relevant Containers extended beyond the port to include inland movement by Respondent to container yards and/or rail yards. (CX202–05.) Since the contracts are maritime in nature and encompass inland transportation as part of the overall arrangement, the Commission has jurisdiction over Complainant's claims.

Accordingly, the Commission has jurisdiction over Respondent and the claims alleged in the Verified Amended Complaint, as Respondent is a regulated entity accused of violating the Shipping Act and the Commission's jurisdiction clearly extends beyond the port. Respondent's argument for dismissal on jurisdictional grounds should therefore be rejected.

B. Complainant has demonstrated Respondent's unjust and unreasonable practices under 46 U.S.C. § 41102(c).

Contrary to Respondent's assertions (Resp. Br., pp. 21–22), Complainant has established that Respondent, as an ocean common carrier, violated the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices for handling, storing, and delivering Complainant's Predecessors' property, as required by 46 U.S.C. § 41102(c).

As outlined in Complainant's Opening Brief and acknowledged in Respondent's Brief, the Commission has interpreted Section 41102(c) as requiring the following elements to establish a violation:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS East Coast*, FMC Docket No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023).

Notably, Respondent appears to concede the first and third elements: (1) that it is an ocean common carrier, and (3) that the alleged practice or regulation is connected to receiving, handling, storing, or delivering property. (Resp. Br. pp. 21–34.) Respondent's brief makes no mention of these elements, effectively leaving them uncontested. (*Id.*) Accordingly, Complainant focuses this Reply on the remaining disputed elements.⁶

- i. The emails produced by Complainant in discovery demonstrate Respondent's awareness of issues faced by Laufer and Complainant's Predecessors.

Respondent challenges the email evidence presented by Complainant, conflating multiple arguments into a single, disjointed claim. (Resp. Br. pp. 23–24, citing Emails, CX_000102–176.) To provide clarity, Complainant addresses Respondent's arguments point by point.

First, Respondent incorrectly focuses on whether these emails directly correspond to specific demurrage and detention charges assessed by Respondent. (*Id.*) This mischaracterizes the

⁶ Complainant addressed the first and third elements in its Opening Brief. (Comp. Br. pp. 6–9.)

purpose of the evidence. The emails were submitted to show that Respondent was fully aware of the severe congestion and equipment shortages affecting Laufer (its customer), Complainant's Predecessors, and the trucking companies they used to retrieve or drop off the Relevant Containers. (Emails, CX_000102–176.) Additionally, these emails are highly relevant because they pertain to the transportation of the Relevant Containers on Respondent's vessels during the Relevant Period. (*Id.*)

For instance, in an email dated June 22, 2022, a Safety Zone LLC ("Safety Zone") employee informed both Laufer and Respondent about delays in retrieving a container carrying Safety Zone's goods, stating: "[T]here is a chassis shortage and the trucker will pick this up as soon as they can." (CX_000151–158.) Similarly, on June 23, 2022, Laufer directly informed Respondent about ongoing challenges in securing chassis for container pickups, stating: "Hello [Respondent], [t]here is a big problem with chassis as you are probably aware of. Trucker will pick up once they have chassis." (CX_000159–168.) In other instances, a trucking company Laufer used to retrieve the Relevant Containers informed Laufer of severe congestion and critical chassis shortages that hindered their ability to pull and return containers within the free time period allotted. (CX_000102–110.) These emails provide clear and compelling evidence of the systemic barriers impacting cargo retrieval during 2021–2022 and directly demonstrate Respondent's knowledge of these challenges.

Second, Respondent vaguely asserts—without identifying the specific emails—that two of the emails presented by Complainant are inadmissible because they "pre-date the Assignment enabling the claim by more than three years and thus cannot form the basis of a Shipping Act violation." (Resp. Br., p. 23, citing Emails, CX102–176; Assignment, CX8). In support, Respondent cites footnote one of its own brief, which argues that certain of Complainant's claims

are barred by the statute of limitations under 46 U.S.C. § 41301(a). However, as discussed in Section IV.A.ii of this Reply, Respondent's cited statute of limitations is inapplicable, and this argument should therefore be disregarded.

Third, Respondent asserts that no evidence has been presented regarding the "specific" cause of unavailability or whether it stemmed from issues involving a party for which Respondent would bear no responsibility.⁷ (Resp. Br., p. 23.) This argument mischaracterizes Complainant's burden of proof. As discussed above, the Commission is empowered to draw reasonable inferences from the evidence presented, including inferences any reasonable person would draw from the facts, while relying on its specialized knowledge and expertise. *See The Port Authority of New York and New Jersey*, 1984 WL 136289, at *21–22; *Svenska*, 390 U.S. at 249.

The email evidence presented by Complainant directly show the severe congestion and equipment shortages affecting Laufer and Complainant's Predecessors during 2021–2022, as well as Respondent's awareness of the challenges its customers faced in securing chassis to retrieve or return containers within the allotted free time. Despite full knowledge of these issues, Respondent continued to impose demurrage, detention, per diem, and other accessorial charges. This evidence is clear proof of Respondent's unreasonable practices.

In citing *TPG Pressure, Inc. v. Omni Logistics LLC and Epic Freight Solutions LLC*, Respondent argues that no evidence supports the alleged charges. However, that decision merely

⁷ To the extent Respondent refers to chassis availability, Complainant notes that Respondent was undoubtedly aware of the 2021–2022 chassis shortage crisis, having a substantial role in chassis logistics. *Intermodal Motor Carriers Conference*, 2023 WL 1963455 at *2. Respondent is a member of the Consolidated Chassis Management LLC (CCM) Agreement, which explicitly authorizes ocean carriers to "meet, discuss, exchange information and data, negotiate, and agree upon all matters related to the establishment, operation and use of Chassis Pools." *Id.* Through CCM, ocean carriers—including Respondent—coordinate with major intermodal equipment providers, negotiate chassis billing rates, and establish rules governing chassis usage. *See id.* at *2–5, 9, 18. Indeed, the Commission has recognized that CCM rules can compel use of an ocean carrier's designated chassis provider and even link lower carrier haulage rates to restrictions on merchant haulage chassis selection. *See id.* Respondent was thus directly involved in the chassis allocation and usage decisions that contributed to the congestion and shortages Complainant repeatedly flagged in contemporaneous communications.

establishes that the imposition of a demurrage charge alone does not demonstrate fault. FMC Docket No. 22–31, 2024 WL 4226354, at *1 (Sept. 12, 2024.) It also addressed issues involving improper markups on demurrage charges and coercive billing practices by NVOCCs, neither of which are relevant to this proceeding. *See id.* In contrast, Complainant here has presented substantial additional evidence—including emails, deposition testimony, expert reports, and other supporting documentation—rendering *TPG Pressure* inapplicable.⁸

Fourth and finally, Respondent appears to address the second element required to allege a violation under 46 U.S.C. § 41102(c)—that the alleged acts or omissions occur on a normal, customary, and continuous basis. (Resp. Br., pp. 23–24.) Respondent claims that the emails in Complainant’s Appendix are insufficient proof of a uniform and ongoing practice, yet appears to ignore Complainant’s Opening Brief, which clearly explains that the alleged harm extends far beyond a single “isolated incident.” (Comp. Br., pp. 7–8.) Specifically, over a two-year period (2021–2022), Respondent imposed demurrage, detention, per diem, and yard storage charges on numerous shipments. (*Id.*) Moreover, Respondent’s own corporate representative testified that it deals with these charges daily as a regular part of its business. (*Id.*) This testimony directly

⁸ In fact, *TPG Pressure* also highlights that, unlike Respondent here, the respondent in that case included explicit language in its email signatures to inform clients of the realities of widespread congestion and chassis shortages. The signature read:

Congestion in all the major ports (air and ocean) in North America has caused delays, diminished capacity, additional fees, surcharges including the standard per diem, demurrage, chassis, chassis splits, pre-pulls and weekend pickups/deliveries, and storage. As always Epic Freight Solutions will be very transparent throughout the entire process.

We will communicate and address the situations as they arise. We will stand by our quote however cannot be responsible for the aforementioned accessorial as they simply cannot be anticipated. We appreciate your support during this latest wave of congestion as the world begins to open up businesses, that all call on North American ports.

TPG Pressure, 2024 WL 4226354 at *33. There, the Presiding Officer concluded that the respondent had reasonably communicated to its client that congestion was impacting shipping during 2021–2022. Here, in stark contrast, Respondent failed to provide any comparable acknowledgment or proactive communication to inform clients of the severe disruptions in the shipping environment. (CX_000151–176.) This omission demonstrates a lack of transparency and consideration, which directly contributed to the challenges faced by Complainant.

contradicts Respondent's position and confirms that the assessment of the alleged charges was indeed normal, customary, and continuous.

For these reasons, Respondent's arguments regarding the lack of direct evidence and the limited number of emails fail to undermine Complainant's claims under 46 U.S.C. § 41102(c). The evidence presented, together with reasonable inferences drawn by the Commission, supports the conclusion that Respondent engaged in unjust and unreasonable practices during the Relevant Period.

ii. Respondent's justification for withholding documents absent a motion to compel is meritless.

Respondent argues that Complainant's allegations regarding its discovery failures should be disregarded because Complainant did not file a motion to compel. (Resp. Br., p. 25.) This argument entirely misses the point. Complainant is not seeking to remedy discovery deficiencies but instead asks the Presiding Officer to consider Respondent's lack of candor during the discovery process when drawing reasonable inferences from the record and applying its specialized knowledge and expertise. Moreover, a motion to compel would have been futile if, as Respondent asserts, it "cannot produce what does not exist." (*Id.*, p. 26.)

Respondent further claims it produced an "enormous quantity"⁹ of Laufer-related documents. (*Id.*, p. 27.) However, this production only covered some demurrage, detention, per diem, and yard storage invoices and non-negotiable sea waybills related to the transportation of the Relevant Containers. Respondent failed to produce a single communication—email or otherwise—related to shipments carrying Complainant's Predecessors' goods during the Relevant

⁹ Respondent asserts that it produced "an enormous quantity of ... documents." However, its appendix primarily consists of the following: (1) an irrelevant service contract (RX1); (2) general Bill of Lading terms, the origin or applicability of which is unclear (RX16); (3) deposition excerpts (RX17–39); (4) emails between Respondent's counsel and Complainant's counsel (RX40–52); and (5) Respondent's expert report. We leave it to the Presiding Officer to determine whether this qualifies as "an enormous quantity of documents."

Period.¹⁰ Moreover, Respondent's brief provides no explanation of what steps, if any, it took to search for these records. Instead, it merely asserts that no records exist because "no such disputes were ever raised with Respondent by Laufer or anyone else." (Resp. Br., p. 28.) Such claims are easy to make when Respondent alone controls the evidence and fails to offer transparency regarding its document retention or search processes.

As a regulated entity under FMC oversight, Respondent should be obligated to follow established standards for preserving evidence. *See* 46 CFR § 502.141(e); 46 CFR § 502.146. Courts have long held that the duty to preserve evidence arises when a party has express or constructive notice that the evidence is relevant to pending or reasonably foreseeable litigation. *See Longview Fibre Co. v. CSX Transp., Inc.*, 526 F. Supp. 2d 332, 340 (N.D.N.Y. 2007); *Kronisch v. United States*, 150 F.3d 112, 126 (2d Cir. 1998). Despite its status as a sophisticated global ocean transportation carrier, Respondent failed to implement adequate procedures to preserve evidence or document its efforts to locate relevant records. This failure raises significant concerns: if Respondent, as a regulated entity, cannot maintain clear procedures for preserving information, documentation, and communications related to the demurrage, detention, per diem, and other accessorial charges it assesses, then its regulatory oversight by the FMC is effectively undermined. Such a lack of accountability undermines the FMC's statutory mandate to "ensure an efficient, competitive, and economical transportation system." 46 U.S.C. § 40101(2); Pub. L. 117-146, § 2, 136 Stat. 1272 (June 16, 2022).

¹⁰ Respondent's counsel references email communications with Complainant's counsel, which shows that Respondent produced a file with trucker disputes allegedly related to the disputed charges. (Resp. Br., p. 27, citing RX51–52.) However, Respondent's counsel fails to include the trucker dispute communications in its Appendix, despite purporting to have produced them. (*Id.*) This omission is significant, as Respondent's counsel is fully aware that the referenced communications pertain to matters irrelevant to the allegations in the Verified Amended Complaint. This tactic exemplifies Respondent's broader strategy throughout its brief: to misconstrue and mischaracterize the evidence in this proceeding.

Complainant's evidence, including email communications, demonstrates that communications between Laufer, Complainant's Predecessors, and Respondent regarding shipments carrying Complainant's Predecessors' goods during the Relevant Period did exist. (CX_000151–176.) A simple search of terms such as “Laufer,” “Safety Zone,” or “Impact Products” would have identified at least some of these communications. These records directly contradict Respondent's claims and expose the misrepresentations it continues to make about the availability of evidence.

Furthermore, the non-negotiable sea waybills Respondent produced lack the full set of terms and conditions typically included in master or house bills of lading. (CX_000202–205.) During her deposition, Respondent's corporate representative confirmed that these sea waybills “are not a complete document... any bill of lading document ... would have two pages at the back ... It [is] not a bill of lading.” (See CX_000020, **Exhibit 2-A attached hereto.**)¹¹ Critical details—such as Respondent's tariff provisions and its methodology for assessing demurrage, detention, per diem, and other accessorial charges—were missing from these documents. Without this essential information, Laufer had no means to understand or dispute these charges. This omission reflects Respondent's unreasonable conduct and lack of transparency, further highlighting the inequities in its practices.

¹¹ Complainant inadvertently omitted one relevant page from Respondent's corporate representative deposition testimony, addressing information about non-negotiable seaway bills. This is not new evidence but simply an additional page from the same deposition transcript already submitted as **Exhibit 2**. Complainant respectfully requests that the omitted page (Pages 54 through 57 as noted in the Condensed Deposition Transcript attached hereto) be incorporated into the record as part of Complainant's Exhibits in Support of Complainant's Proposed Findings of Fact and Opening Brief. For clarity, Complainant proposes referencing it as **Exhibit 2-A**, to be included alongside Exhibit 2 in its Appendix.

Furthermore, Complainant notes that in its Proposed Findings of Fact (paragraph 55) the citation to Exhibit 2 should have also included this omitted page (now referenced as Exhibit 2-A). This clarification ensures consistency in the record and accurately reflects the complete testimony of Respondent's corporate representative.

Respondent also mischaracterizes Mr. Hallett's deposition testimony, claiming that Laufer or Complainant's Predecessors never disputed the charges to Respondent. (Resp. Br., p. 28, citing Mr. Hallett's Deposition, RX20–22.) This is demonstrably false. The cited material misrepresents Mr. Hallett's deposition testimony and takes it out of context. The testimony in question (RX21) involves a hypothetical scenario posed by Respondent's counsel, not a factual admission by Mr. Hallett. Specifically, Respondent's counsel asked Mr. Hallett to assume two scenarios: (1) Laufer investigates Respondent's charges and determines they are proper, and (2) Laufer investigates and determines the charges are improper. (*Id.*, 85:3–13.)

Mr. Hallett responded: "I would say if the Yang Ming invoice was presented to Laufer, not knowing any verification process that they go through, they would take that charge and invoice us on Laufer paper." (*Id.*, 85:14–18.) When pressed further on whether Laufer would pass on improper charges, Mr. Hallett stated, "I don't know that... Well, in expectation versus fact, I would expect that [Laufer] would verify that the charge was correct before they passed it onto us." (*Id.*, 86:2–5.) (Emphasis added.) Respondent's counsel then asked whether Complainant's Predecessors disputed any charges during 2021–2022. Mr. Hallett responded: "To my knowledge, I would say we would not have disputed... We had the expectation that they would have invoiced us correct." (*Id.*, 86:23–25.) (Emphasis added.)

This testimony simply reflects Mr. Hallett's expectation that Laufer would verify the accuracy of Respondent's charges—ensuring, for example, that invoices did not include extra days of demurrage, detention, per diem, or yard storage charges. (RX20–22.) It does not address the reasonableness of the charges Respondent assessed or whether Laufer sought waivers or reductions due to the severe congestion and chassis crisis affecting the industry at the time.¹²

¹² Respondent takes issue with Mr. Hallett's affidavit, which reflects his firsthand knowledge that Laufer disputed the alleged demurrage, detention, per diem and yard storage charges, dismissing it as hearsay and unsupported

As outlined in Complainant's Opening Brief and this Reply, Respondent's failure to produce critical records—combined with the inadequacy of the records it did produce, which left numerous questions unanswered—is especially troubling given its status as an FMC-regulated entity and a sophisticated ocean common carrier responsible for transporting goods worldwide, including to the United States. When reviewing the record and drawing reasonable inferences, the Presiding Officer should also consider Respondent's lack of candor during the discovery process.

iii. Respondent fails to show it provided a clear process for contesting demurrage and detention charges.

Respondent inaccurately claims that Complainant is relying on inapplicable standards regarding Respondent's invoicing and dispute resolution procedures. (Resp. Br., pp. 29–32.) This assertion is plainly incorrect.

First, contrary to Respondent's claim (Resp. Br., p. 29), Complainant did not cite the Final Rule on Demurrage and Detention Billing Requirements, 89 F.R. 14330 (Feb. 26, 2024).¹³ Instead, Complainant cited the Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 F.R. 29638, which became effective on May 18, 2020—well before the allegations referenced in the Verified Amended Complaint. That rule explicitly states that one factor the Commission may consider in determining reasonableness is “the existence and accessibility of policies implementing demurrage and detention practices and regulations.” Final

by admissible evidence. (Resp. Br., p. 29 at fn. 3.) Respondent, however, overlooks the applicable standard of proof in this setting. Complainant's burden is to prove its claims by a preponderance of the evidence. Moreover, the Commission is entitled to draw reasonable inferences from the facts presented, even when direct evidence is unavailable, relying on its particular knowledge and expertise. *See U.S. v. F.M.C.*, 15 SRR 927, 934–935 (D.C. Cir. 1980) (upholding use of hearsay and indirect evidence to support findings where direct evidence was unavailable). The Commission has also found that all evidence that is relevant, material, reliable and probative, and not unduly repetitious or cumulative, shall be admissible. 46 C.F.R. § 502.156. *Maher Terminals*, 2013 WL 9808667 at *4.

¹³ Complainant notes that Respondent has not even provided the correct citation for the specific Final Rule it references. The proper citation is Final Rule, Demurrage and Detention Billing Requirements, 89 F.R. 41895 (May 14, 2024).

Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 F.R. 29638 at 29659. Another factor that may be considered is the “marked lack of transparency regarding demurrage and detention practices, including dispute resolution processes and billing procedures.”¹⁴ *Id.*

Second, Respondent incorrectly asserts that Complainant relies on the Ocean Shipping Reform Act of 2022, Public Law 117-146 (June 16, 2022), as controlling law for this proceeding. In reality, Complainant cites the Ocean Shipping Reform Act of 2022 solely as persuasive authority. (Resp. Br., p. 29.) However, because certain disputed charges were assessed after June 16, 2022, the provisions of the Act appropriately apply to those charges.

Third, Respondent asserts that its demurrage invoicing “contained a veritable plethora of detailed information.” (Resp. Br., p. 30.) However, Respondent fails to acknowledge that this supposed “plethora” of information omits critical guidance for customers on how to dispute such charges. The invoices Respondent produced lacked basic dispute resolution details, such as an email address or phone number to contact, a website to visit, or instructions on the evidence and documentation needed to challenge the charges, such as photos, receipts, or other relevant materials. (CX_000263–79.)

Respondent effectively concedes that its invoices excluded contact information or website details for disputes, arguing instead that this was not required under the Final Rule on D&D Billing Requirements. (Resp. Br., p. 30.) Yet, Respondent overlooks the Final Rule on Interpretive Rule on Demurrage and Detention Under the Shipping Act, which explicitly highlights the lack of

¹⁴ Respondent argues that even if the Commission were to consider its dispute resolution processes and billing procedures, shippers like Laufer and Complainant’s Predecessors should have timely communicated and supported their disputes over D&D invoicing—none of which allegedly occurred in this case. (Rep. Br., p. 30.) However, this argument misses the point entirely. Respondent did not have any dispute resolution or billing dispute procedures in place during the Relevant Period, making it unreasonable to expect shippers to effectively challenge these charges without the necessary tools or guidance.

dispute resolution mechanisms as a factor the Commission considers when evaluating the reasonableness of these charges. Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 F.R. 29638 at 29659. A sample invoice is provided below for the Presiding Officer’s review.

The screenshot shows a software interface for managing demurrage and detention charges. The main table lists individual charges with columns for 'From' (Act, Place, Depot, Date) and 'To' (Act, Place, Depot, Date), along with 'Trnd Days'. To the right of the table, a summary section calculates the total collectable amount based on minimum and maximum days, rates, and free days. Below this, the 'B/L Level' and 'Container Level' sections provide further breakdowns of collectable amounts, LFC (Letter of Freight Charge) amounts, and outstanding balances in USD.

As shown in the demurrage invoice above, these so-called “invoices” appear more akin to internal documents maintained by Respondent for its own records. These are the same “invoices” Respondent produced during discovery. (CX_000263–79.) If these were indeed invoices sent to Laufer, they offer no guidance on how to dispute a charge.

Fourth, Respondent attempts to shift its responsibility as a global ocean common carrier onto Laufer, an intermediary that does not issue demurrage and detention charges. (Rep. Br., p. 30.) Respondent argues that Laufer—not Respondent—should bear the burden of determining how these charges can be disputed. (*Id.*) However, as demonstrated above, Laufer was not provided with the tools needed to conduct such research. Respondent’s non-negotiable sea waybills and demurrage invoices lacked essential information, including Respondent’s tariff, details about

demurrage and detention charges, their applicability, and any dispute resolution processes for these charges. (CX_000202–05; CX_263–79.)

Respondent cites vague testimony from its corporate representative, claiming that demurrage and detention charges were routinely investigated and waivers issued when disputes were raised. (Resp. Br., p. 30.) However, neither Respondent nor the cited testimony provides any evidence detailing specific policies for disputing such charges, how disputes were assessed or resolved, the designated contact for submitting disputes, applicable deadlines, required evidence, or data on the number of disputes submitted during the Relevant Period. During this time, shippers and NVOCCs were left without clear guidance on how to challenge these charges. Complainant asserts that Laufer raised disputes on behalf of Complainant’s Predecessors (CX_000001–12), but Respondent holds all relevant communications related to this proceeding. Despite this, Respondent has failed to produce any communications concerning the transportation of the Relevant Containers—none whatsoever.

Fifth, it is remarkable that Respondent cites a settlement agreement between the FMC’s Bureau of Enforcement and Hapag-Lloyd, A.G./Hapag-Lloyd (America) LLC—a document explicitly outlining how to dispute demurrage and detention charges. (Resp. Br., p. 31.) *See *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket No. 21-09, 2022 WL 1744900, at 1 (May 18, 2022). Despite having clear guidance from this agreement, Respondent failed to adjust its dispute resolution or billing practices. Instead, it insists that Laufer and Complainant’s Predecessors—not the global ocean carrier—bear the burden of tracking down FMC proceedings, obtaining this information, and challenging the disputed charges.

Sixth and finally, Respondent's reliance on the incentive principle as described in Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 F.R. 29638 is misplaced. (Resp. Br., p. 31.) While demurrage and detention charges are indeed recognized as a tool for promoting prompt equipment interchange and preserving freight fluidity, the Interpretive Rule makes clear that these charges cease to serve their purpose when they do not (and cannot) actually incentivize container movement. Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 F.R. 29638 at 29651–52; *see also TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement*, FMC Docket. No. 1966(I), Doc. No. 1, 1, 22–25 (ALJ Feb. 29, 2021) (citing to the Interpretive Rule for the proposition that the shipping community, including importer, exporter, intermediaries, and truckers, “should not be penalized by demurrage and detention practices when circumstances are such that they cannot retrieve equipment from or return equipment to marine terminals” ... because under those circumstances the charges cannot serve their incentive function.)

Complainant has demonstrated that, during 2021–2022, Laufer and Complainant's Predecessors faced severe congestion and chassis shortages that prevented them from retrieving or returning Respondent's containers within the allotted free time period. (CX_000088–000176.) Respondent was expressly notified of these disruptions, as confirmed by its own corporate representative during her deposition. (CX_000013–25; CX_000151–176.) Despite this knowledge, Respondent continued to impose demurrage, detention, per diem, and other accessorial charges, profiting from its customers' misfortunes. (CX_000342) (Mr. Pacheco (Complainant's Counsel): “Was Yang Ming improving in terms of revenue and net income between 2019 to 2021? Mr. Vogt (Respondent's Expert): Yes, they did improve... along ... with everybody else.”)

It is difficult to comprehend how demurrage and detention charges can be justified as an incentive to promote the movement of containers when the circumstances made it impossible to retrieve or return those containers within the free time period allotted.

iv. Complainant's expert report highlights Respondent's gross misconduct.

Respondent's dismissive tone toward Complainant's claims is both troubling and misplaced. (Rep. Br., pp. 33–34.) The severe financial impact on Complainant's Predecessors—who collectively paid over \$5 million in demurrage, detention, per diem and yard storage fees and ultimately went bankrupt—shows that these charges were not a mere inconvenience but a genuine threat to American businesses during the 2021–2022 crisis. Far from being an object of ridicule, these circumstances demand serious consideration.¹⁵

Respondent's attack on Mr. McCown's credentials likewise misses the mark. (Rep. Br., p. 33.) Mr. McCown brings more than 21 years of maritime transportation experience, which Respondent fails to mention. (CX_000284–88.) His expert analysis does not hinge on proving that every demurrage, detention, per diem, and other accessorial charge here was wrongful. Rather, he shows how Respondent historically underperformed in profitability and revenue relative to its peers prior to 2021–2022 and then dramatically increased its revenue (which includes demurrage, detention, per diem and other accessorial fees) during 2021–2022, surpassing or matching other ocean common carriers. (CX_000288–99.) This data provides context for the Presiding Officer to draw a reasonable inference that Respondent profited disproportionately from the systemic challenges and disruptions that hamstrung shippers' ability to move cargo.

¹⁵ Respondent's argument that Complainant's parallel claims against five other carriers somehow absolve it of wrongdoing simply defies logic. (Rep. Br., pp. 33–34.) Bringing similar allegations against multiple carriers does not undermine Complainant's credibility; if anything, it highlights a systemic industry-wide problem. Respondent's suggestion that identical misconduct by other carriers nullifies the unreasonableness of its own conduct is plainly meritless—akin to insisting that if everyone else is speeding, no one should receive a ticket. Such reasoning fails both legally and factually.

Respondent also claims Mr. McCown's report is "easily debunked" yet cites not a single page of the report or any specific flaw, instead assigning the Presiding Officer the task of combing through Respondent's own expert materials.¹⁶ (Rep. Br., p. 33;) *Magnum Towing & Recovery*, 287 Fed. Appx. at 449 ("It is not the district court's...duty to search through the record to develop a party's claims; the litigant must direct the court to evidence in support of its arguments before the court.") Notably, Respondent never moved to strike or exclude Mr. McCown's report—served over five months ago on August 20, 2024. Moreover, Mr. McCown relied on legitimate data from recognized maritime transportation industry sources. (CX000280–324.)

The Presiding Officer is fully capable of analyzing and weighing Mr. McCown's opinions in his report, and then, based on her own expertise, assigning that opinion whatever probative weight it deserves. *See OJ Commerce*, 2023 WL 3969857 at *41 (citing *Marine Repair Services of Maryland, Inc. v. Ports Am. Chesapeake, LLC*, Docket No. 11-11, 2013 WL 9808672, at *23 (ALJ Jan. 10, 2013), admin. final Mar. 20, 2013). Respondent's baseless dismissal of Mr. McCown's expert opinion should be disregarded.

v. Respondent's objections to Complainant's damages spreadsheet are baseless.

Finally, Respondent argues that Complainant's proof of proximately caused damages is insufficient and falls short of the required standard. (Resp. Br., p. 34.) This claim is unfounded. First, the damages outlined in Complainant's spreadsheet are corroborated by sample invoices included in its Appendix. (CX_000001–12; CX_000032–58; CX_000263–79.) These samples include demurrage invoices produced by Respondent and invoices produced by Laufer. (*Id.*) While

¹⁶ To the extent Respondent relies on its expert to discredit Mr. McCown's report, the Commission should note that Respondent's expert, an accountant, has no experience with the Federal Maritime Commission or the maritime transportation industry. (CX_000342.) This lack of industry knowledge raises serious questions about the expert's ability to accurately analyze and interpret maritime transportation data. Consequently, the rebuttal of Mr. McCown's report should be disregarded, as Respondent's expert is not properly qualified under the Federal Rules of Evidence 702(a) to assist the Presiding Officer in understanding the evidence or determining the facts at issue.

Complainant did not submit every invoice due to the sheer volume, it is willing to provide additional documentation if requested by the Presiding Officer. Second, Respondent effectively concedes part of this issue through its expert report, which acknowledges that Respondent reviewed its internal records and identified \$833,255 in demurrage, detention, per diem and other accessorial charges, leaving \$471,271 in contention. (RX070–71 RX214–215.) This partial acknowledgment further validates Complainant’s claims and underscores the reliability of the evidence presented by Complainant.

Respondent asserts that it did not charge the yard storage fees included in Complainant’s damages spreadsheet, specifically the \$471,271 at issue. (Rep. Br., p. 34, citing Anki Deposition, RX27–29.) However, as detailed in Complainant’s Opening Brief, Respondent cannot disclaim responsibility for yard storage charges incurred during the transportation of Complainant’s Predecessors’ cargo. (Comp. Br., pp. 15–17.) These charges were directly tied to Respondent’s obligations as a common carrier to make cargo available for pick-up at inland terminals, including rail yards. (*Id.*)

Despite being aware of systemic barriers such as severe congestion and the chassis shortage crisis affecting the entire industry, Respondent failed to ensure the accessibility of the Relevant Containers it transported to rail yards. (CX_000021–23; CX_00102–76.) As a result, Complainant’s Predecessors and Laufer were unable to retrieve the Relevant Containers within the allotted free time period and were forced to incur demurrage and yard storage fees. By shifting its responsibilities onto Complainant in this manner, Respondent violated 46 U.S.C. § 41102(c) and contravened the FMC’s Interpretive Rule, engaging in an unreasonable practice inconsistent with its common carrier obligations.

In summary, Complainant need not prove that each demurrage, detention, per diem, and other accessorial charge was individually wrongful. Rather, it must demonstrate—by a preponderance of the evidence—that Respondent’s practices were unreasonable under systemic conditions that made compliance with retrieving and dropping off containers within the allotted free time period impossible. Complainant has met this standard through multiple forms of evidence, including:

1. Mr. McCown’s expert report;
2. Respondent’s admissions of profiting from demurrage and detention fees, as revealed in its expert report, and its expert and corporate representative deposition testimony;
3. Respondent’s acknowledged awareness of severe congestion and chassis shortages during the Relevant Period;
4. Direct evidence of demurrage, detention, per diem, and yard storage invoices assessed by Respondent;
5. Insufficient information about demurrage and detention charges in the non-negotiable seaway bills produced by Respondent, and failure to include *any* dispute resolution processes in Respondent’s demurrage invoices during the Relevant Period;
6. Respondent’s lack of candor during discovery, and
7. The real-world harm to Complainant’s Predecessors.

This evidence collectively demonstrates that Respondent’s practices violated its obligations as an ocean common carrier and were unreasonable under the circumstances. Accordingly, the Presiding Officer should find that Respondent violated the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices for handling, storing, and delivering Complainant’s Predecessors’ property, as required by 46 U.S.C. § 41102(c).

C. Complainant established Respondent’s refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10).

Rather than seriously addressing Complainant’s claims under 46 U.S.C. § 41104(a)(10), Respondent resorts to mockery, dismissing the allegations as a “sorry showing,” a “figment of Complainant’s imagination,” and an “ill-advised claim.” (Resp. Br., pp. 36–37.) Such language is not only unprofessional and disrespectful but also dismissive of the real and significant harm suffered by Complainant’s Predecessors—harm shared by numerous businesses that endured similar mistreatment during 2021–2022, as the Commission is well aware.

The challenges faced by Complainant’s Predecessors, which ultimately culminated in their bankruptcy, deserve a fair and thorough analysis. Respondent’s attempt to trivialize these claims demonstrates a lack of respect not only for Complainant’s Predecessors but for the integrity of this tribunal and the experiences of countless American companies impacted by systemic practices of ocean carriers during 2021–2022.

Moreover, Respondent’s assertion that Complainant’s claims lack evidence is undermined by its own conclusory arguments. While mocking Complainant’s claims as unsupported, Respondent offers only cursory analysis and cites prior sections of its brief as purported support, relying on the very approach it criticizes. (Resp. Br., pp. 36–37.) The gravity of these claims demands serious consideration, not derision. The Presiding Officer should reject Respondent’s dismissive tactics and recognize the substance of Complainant’s case under both 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(10).

Complainant briefly responds to Respondent’s conclusory arguments and relies on its detailed analysis in the Opening Brief, which illustrates that Respondent’s refusal to deal or negotiate was unreasonable under 46 U.S.C. § 41104(a)(10). (Comp. Br., 20–23.)

As stated in Complainant’s Opening Brief, under 46 U.S.C. § 41104(a)(10), a common carrier is prohibited from unreasonably refusing to deal or negotiate. To establish a violation of this provision, Complainant must demonstrate three elements: (1) that Respondent is a common carrier; (2) that Respondent refused to deal or negotiate; and (3) that such refusal was unreasonable. *See OJ Commerce*, 2023 WL 3969857, at *22. The Commission has found that a common carrier should “refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.” *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003); *OJ Commerce*, 2023 WL 3969857, at *22. As demonstrated below, Respondent satisfies each of these elements.

Respondent appears to concede the first element of a violation of 46 U.S.C. § 41104(a)(10)—that it qualifies as a common carrier. Its brief addressing this alleged violation (Resp. Br., p. 35–37) makes no mention of this element. Consequently, Complainant will focus on the remaining elements: (2) that Respondent refused to deal or negotiate; and (3) that such refusal was unreasonable.

Notably, however, Respondent fails to specifically address the second and third elements of a violation under 46 U.S.C. § 41104(a)(10)—(2) that Respondent refused to deal or negotiate; and (3) that such refusal was unreasonable—in its brief. (Resp. Br., p. 35–37.) Instead, it generally argues that there is no direct evidence of a violation, effectively leaving these two elements uncontested. (*Id.*) This approach improperly shifts the burden to the Presiding Officer to analyze these elements on Respondent’s behalf and find in its favor. However, it is not the duty of the Presiding Officer to search the record or develop arguments for Respondent. *See Magnum Towing*

& Recovery, 287 Fed. Appx. at 449; *see also Forsyth v. Barr*, 19 F.3d 1527, 1537 (5th Cir. 1994) (“Rule 56 does not impose upon the district court a duty to sift through the record in search of evidence to support a party's opposition to summary judgment.”) (quoting *Skotak v. Tenneco Resins, Inc.*, 953 F.2d 909, 915 & n.7 (5th Cir. 1992)).

Courts have consistently held that when a party fails to address arguments raised by a movant, those arguments may be deemed conceded. *See Inst. for Pol’y Stud. v. C.I.A.*, 885 F. Supp. 2d 120, 150 (D.D.C. 2012) (citing *Hopkins v. Women’s Division, General Board of Global Ministries*, 238 F. Supp. 2d 174, 178 (D.D.C. 2002)); *Klugel v. Small*, 519 F. Supp. 2d 66, 72 (D.D.C. 2007); *Lewis v. District of Columbia*, 2011 WL 321711, at *1 (D.C. Cir. 2011); *Robinson v. Securitas Servs., Inc.*, 819 F. Supp. 2d 18, 22 (D.D.C. 2011).

Here, Respondent’s failure to directly address the second and third elements required to alleged a 46 U.S.C. § 41104(a)(10) violation should be deemed a concession. Even if the Presiding Officer finds that Respondent vaguely addressed these points, its arguments were cursory and conclusory, failing to meaningfully rebut Complainant’s claims. Instead, Respondent relied on dismissive rhetoric, characterizing Complainant’s claims as “unserious” and asserting a lack of evidence without substantive engagement with the issues.

Accordingly, the Presiding Officer should find that Respondent has conceded it violated 46 U.S.C. § 41104(a)(10) by failing to specifically and adequately address Complainant’s arguments regarding each required element. Should the Presiding Officer decide otherwise, Complainant addresses Respondent’s conclusory arguments as follows:

i. E-Mails.

Respondent fails to address Complainant’s arguments regarding Respondent’s refusal to deal or negotiate. Instead of addressing these claims substantively, Respondent focuses on the emails produced, asserting it was “only in copy on three”—a claim that is both inaccurate and

irrelevant. (Rep. Br., p. 36.) The emails were addressed directly “to” Respondent, not sent as a carbon copy (“cc”), as Respondent implies. (CX_000151–71.) This mischaracterization further highlights Respondent’s unwillingness to meaningfully engage with the core issues raised by Complainant.

Next, Respondent claims there is no proof that the chassis unavailability mentioned in the cited emails was caused by issues beyond the control of Laufer and its truckers, as opposed to other factors. (Rep. Br., p. 36.) However, Respondent conveniently ignores its own active role in chassis logistics and its participation in industry-wide coordination efforts that contributed to the shortages and congestion flagged by Complainant’s Predecessors. *See supra*, footnote 8. Respondent was fully aware of the 2021–2022 chassis shortage crisis and, as a member of the Consolidated Chassis Management LLC Agreement, was actively involved in coordinating chassis allocation and usage decisions. *Id.*

Lastly, Respondent contends that none of the emails presented by Complainant indicate that Laufer was charged for demurrage and detention arising from the “situations raised.” (Rep. Br., p. 36.) Whatever “the situations raised” means is unclear. However, Complainant notes that one of those emails explicitly demonstrates that Complainant’s Predecessors incurred nearly \$3,000 in demurrage charges—a charge that Respondent informed them about and repeatedly reminded Laufer and Complainant’s Predecessors to address. (CX_000159–64.)

Respondent also claims that it did not charge the demurrage or detention fees referenced in the cited emails, but this argument entirely misses the point. (Rep. Br., p. 36.) Had Respondent reviewed Complainant’s Opening Brief, it would understand that the emails were not presented to show who assessed the demurrage charges but instead centered on Respondent’s unreasonable conduct. (Comp. Br., pp. 20–23.) Laufer and the trucking companies it engaged to retrieve the

Relevant Containers repeatedly communicated detailed updates to Respondent about retrieval efforts. (CX_000151–76.) These updates outlined systemic barriers, including chassis shortages and congestion, that made container retrieval impossible within the free time period allotted. (*Id.*) Respondent, fully aware of these challenges, did nothing to ensure the Relevant Containers it transported to the rail yards would be accessible during the free time period. Moreover, Respondent took no steps to deal or negotiate the mounting demurrage, detention, per diem, and other accessorial charges it also imposed on Laufer and Complainant’s Predecessors during 2021–2022.

Rather than engaging with Laufer to address these systemic issues or alleviate the financial burden on its customers, Respondent passively allowed charges to accrue. Its sole action was to send “reminder” emails, demanding that Laufer and Complainant’s Predecessors pick up the containers, pay exorbitant demurrage charges, and return Respondent’s containers on time—ignoring the underlying barriers that made compliance impossible. (CX_000151–76.) This conduct shut down any meaningful opportunity for dealing or negotiation regarding these charges, placing all responsibility on Laufer and Complainant’s Predecessors while Respondent reaped financial benefit from its inaction.

ii. Request for Adjustments and Discovery.

Complainant contends that it did dispute the charges imposed by Respondent through Laufer but was shut down without explanation. (CX_000001–12.) The Commission has recognized that refusals to engage with good-faith attempts to negotiate constitute unreasonable refusals to deal. *See Canaveral Port Authority - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Docket No. 02-02, 29 S.R.R. 1436, 2003 WL 723336, at *16 (FMC Feb. 24, 2003).

Respondent claims there is no evidence that Laufer disputed these charges on behalf of Complainant's Predecessors but entirely misses the point. (Resp. Br., p. 36.) Complainant has shown, in both its Opening Brief and this Reply, that communications from 2021–2022 between Respondent, Laufer, and Complainant's Predecessors regarding the shipments carrying the Relevant Containers did exist. (CX_000151–76.) Yet, Respondent has failed to produce a single communication or provide an explanation of what searches were conducted and why they yielded no results.

Instead of addressing these deficiencies or explaining its document searches to the Presiding Officer, Respondent dismisses Complainant's arguments with conclusory statements, claiming they are "devoid of evidentiary support," "a figment of Complainant's imagination," and that "blood cannot be drawn from a stone." (Resp. Br., p. 36.) These dismissive assertions do nothing to rebut Complainant's claims or justify Respondent's failure to produce relevant evidence.

Respondent's inability or refusal to provide these critical communications, coupled with its failure to explain the absence of such documents, underscores its broader refusal to engage in meaningful dealings or negotiations. This conduct exemplifies the type of unreasonable refusal to deal or negotiate that the Commission should condemn.

Further, Respondent claims that during his deposition, Mr. Hallett admitted he was unaware of any disputes raised to or by Laufer during the two-year period at issue. (Resp. Br., p. 36.) This assertion is demonstrably false and mischaracterizes Mr. Hallett's testimony. As noted above, the testimony cited by Respondent's counsel involved a hypothetical scenario posed during the deposition. (RX20–22.) Specifically, Respondent's counsel asked Mr. Hallett to assume two scenarios: "[Scenario 1:] Laufer looks at the charges and investigates ... and finds that the charge

from Yang Ming is proper ... [Scenario 2:] It's improper." Mr. Hallett responded: "Well, in expectation versus fact, I would expect that [Laufer] would verify that the charge was correct before they passed it onto us." (*Id.*)

This exchange merely reflects Mr. Hallett's expectation that Laufer would verify charges before passing them to Complainant's Predecessors. It does not address whether Respondent's charges were reasonable or disputed. Respondent's distortion of this testimony is misleading and should be rejected.

Lastly, Respondent attempts to shift the burden of producing evidence onto Laufer, asserting that Laufer should have provided relevant information to Complainant. (Resp. Br., pp. 36–37.) However, as the regulated ocean carrier in possession of the requested information and as the party obligated through discovery to either produce it or explain why it could not, Respondent bore the responsibility to address these requests, not Laufer.

The evidence shows that communications occurred between Respondent, Laufer, and Complainant's Predecessors, as demonstrated by emails detailing the severe congestion and chassis shortage crisis faced by Laufer and its trucking partners during 2021–2022. (CX_000151–76.) Yet, Respondent dismisses this evidence, fails to produce the communications it possesses, and offers no explanation for its inability to do so. (Resp. Br., pp. 36–37.) Instead, it attempts to deflect responsibility onto Laufer. Respondent's actions—or lack thereof—demonstrate a failure to meet its discovery obligations and a broader unwillingness to address the systemic issues central to this case.

iii. Damages.

Respondent asserts, in conclusory fashion, that Complainant did not suffer economic harm from any unreasonable refusal to deal or negotiate because no invitation to deal or investigate was sent to Respondent. (Resp. Br., p. 37.) However, as detailed in this Reply and Complainant's

Opening Brief, Respondent's conduct caused Complainant's Predecessors to incur severe economic harm amounting to no less than \$1,304,526.00 in demurrage, detention, per diem, and other accessorial charges assessed by Respondent. (CX_000032–58.) Respondent continued imposing these charges throughout 2021–2022 despite being fully aware—through Laufer and Complainant's Predecessors—of the severe congestion and chassis shortages that made timely retrieval of the Relevant Containers impossible. (CX_000151–76.) This unrelenting imposition of charges underscores Respondent's unreasonable refusal to deal or negotiate.

Furthermore, Respondent baselessly claims that Complainant's damages spreadsheet lacks support. (Resp. Br., p. 37.) Yet, Respondent's own expert partially confirmed the majority of these charges in its expert report. (RX070–71 RX214–215.) The damages spreadsheet presented by Complainant is legitimate, supported by sample invoices included in its appendix, and partially corroborated by Respondent's own evidence.

Accordingly, the Presiding Officer should find that Respondent's actions—or lack thereof—constitute a violation of 46 U.S.C. § 41104(a)(10).

V. Respondent's request for attorney's fees and costs should be denied.

Respondent concludes by audaciously requesting that the FMC award it attorney's fees, costs, and any other relief deemed just and proper. Apparently, taking no less than \$1,304,526.00 from Complainant's Predecessors wasn't sufficient—they now seek even more. Yet, Respondent offers no supporting case law or statutory authority for this extraordinary request, further highlighting the cavalier and dismissive attitude it has exhibited throughout this proceeding.

This baseless demand epitomizes Respondent's lack of accountability, insensitivity to the harm it caused, and its refusal to take these claims seriously. Accordingly, Respondent's request for attorney's fees and costs should be denied, as it has presented no evidence to support such a request. Instead, it is Complainant who should be entitled to its fees and costs.

VI. Conclusion.

For all the reasons set forth in this Reply and Complainant's Opening Brief, the Presiding Officer should deny Respondent's baseless requests, find that Respondent's actions constitute a violation of 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(10), and hold Respondent accountable for the significant harm caused to Complainant's Predecessors.

Dated: January 24, 2025

Respectfully submitted,

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